# Jefferies

## USA | Aerospace & Defense Electronics

**Equity Research**
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# A&D Weekly: The Insiders - Who Owns the Stock?

This week's edition examines ownership by the management and board across our coverage universe by subsector. ***Defense Tech*** management teams lead the way at 6.8% on average, followed by ***Commercial Aerospace*** at 3.1%, ***IT Services*** at 0.9%, Airlines at 0.7%, and ***Defense Primes*** at 0.3%.

**Defense Tech Ownership Most Concentrated.** Defense Tech insiders hold the largest ownership positions across our coverage at 6.8% of diluted OS, well ahead of other sub-sectors. Ownership is skewed by a handful of outliers, led by **ESLT** (41.2%), **CDRE** (27.6%), **NXSN-IL** (17.7%) and **YSS** (10.5%). **ESLT** tops the list given the Federmann family's controlling stake, while **CDRE**'s Chairman and CEO, Warren Kanders holds ~26%. On selling, **MRCY** ranks at the top of A&D for insider selling at -1.4%, followed by **CDRE** at -0.1%

**Comm'l Aero Insiders Have Second Highest Ownership.** Comm'l Aero insiders hold the 2nd largest % at 3.1%. **LOAR** (19.3%) and **HEI** (15.4%) lead, w/ **HEI** as an example of concentrated family ownership: Co-Chairmen and Co-CEOs Eric and Victor Mendelson hold ~4% each and have a 36+ yr tenure, w/ their late father and HEI founder, Laurans' estate holding 7.2%. At **LOAR**, board member Paul Levy holds 8.6% and CEO Dirkson Charles holds 4.4%. In our broader A&D coverage, **DPC** leads YTD insider buying at +1.6% on IPO-linked purchases, followed by **LOAR** at +0.2% and **AIR** ranks 3rd among sellers at -0.4%.

**Founder and Family Control Anchors the Top.** The most heavily insider-owned names often have an active founder, family, or long-tenured mgmt control that concentrates ownership. **ESLT** (Federmann), **HEI** (Mendelsons), **CDRE** (Kanders), and **LOAR** headline w/ double-digit stakes. Rounding out the top 10 are **ARXS** (4.2%), **BKSY** (3.6%), **AIR** (2.5%), and **AVEX** (2.3%), largely newer issuers where founders and early leadership still retain meaningful equity.

**Defense Primes and Airlines Rank Among the Lowest.** Insider ownership is thinnest among Defense Primes at just 0.3%, a function of scale and dispersed institutional ownership. The bottom of the book is dominated by mega-cap primes, with **RTX**, **LMT**, and **NOC** each below 0.2%.

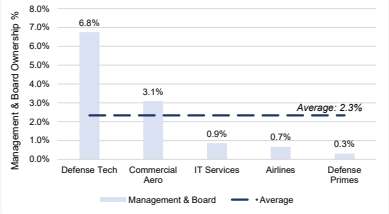
**Airlines Next at 0.7%. AAL**'s Robert Isom screens as the largest insider at 0.6%, whereas **DAL**'s Ed Bastian is the longest serving airline chief, having been appointed as CEO in 2016, and holds 0.2%. **UAL**'s Scott Kirby owns 0.3% and **AC-CA** sits at the lowest given the leadership transition.

**IT Services Anchored by Long-Tenured CEOs.** IT Services insiders hold 0.9% on average, with **PSN** standing out on leadership continuity w/ Carey Smith running the company since 2021 and owning 0.5%, tied with **CACI**'s John Mengucci. Additionally, **PSN** ranks 3rd for insider buying within A&D.

**Lowest CEO Ownership Mainly Due To Tenure.** The CEOs with the lowest ownership tend to have the least tenure in their current roles. **CAE's** Matthew Bromberg (0.01%) has served as CEO for ~1 year after joining the company from NOC.**TXT's** Lisa Atherton (0.03%) has been in her current role since January, her ownership remaining on the low end despite being at the company since 2007. **BA's** Kelly Ortberg owns 0.03% of shares after ~2 years in the role. The outlier among the group of the lowest owners is **LMT's** Jim Taiclet, owns only 0.03% of shares despite serving at CEO since June 2020.

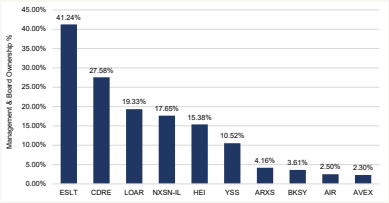
**Ownership Levels Largely Reflect Company Maturity and Leadership Structure.** Where insiders own the most, it is usually early in a company's public life or under founder, family, or long-tenured

**Exhibit 1 - Mgmt + Board Ownership Highest Among Defense Tech at 6.8% of OS, Whereas Defense Primes are the Lowest at 0.3%, Against an Average Across All Sectors of 2.3%**



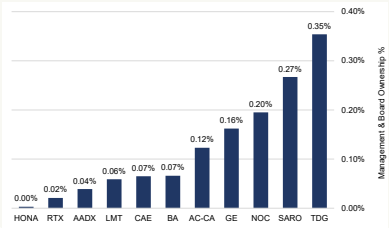

Source: Source: Company data, FactSet, Jefferies estimates

**Exhibit 2 - Top 10 Insider Ownership - Defense Tech Leads the Way w/ ESLT at ~41% and CDRE at 28%**




Source: Source: Company data, FactSet, Jefferies estimates

**Exhibit 3 - Lowest 10 Insider Ownership - Dominated by Defense Primes Given Maturity and Scale of Businesses**




Source: Source: FactSet, Company data, Jefferies estimates


**Sheila Kahyaoglu * | Equity Analyst**
+1 (212) 336-7216 | sheila.kahyaoglu@jefferies.com

**Adam Samuelson * | Equity Analyst**
+1 (212) 707-6303 | asamuelson@jefferies.com

**Kyle Wenclawiak * | Equity Associate**
+1 (212) 323-7671 | kwenclawiak@jefferies.com

**Jack Ewell * | Equity Analyst**
+1 (646) 352-5648 | jewell@jefferies.com

**William Healey * | Equity Associate**
+1 (212) 778-8725 | bhealey@jefferies.com

**Eegan McDermott * | Equity Associate**
+1 (212) 323-3325 | emcdermott1@jefferies.com

**Ceara Perry * | Equity Associate**
+1 (646) 352-5601 | cperry@jefferies.com

management control, as at **ESLT**, **HEI**, **LOAR**, and **CDRE**, where sizable stakes align management with shareholders. By contrast, large-cap primes like **RTX**, **LMT**, and **BA** show dispersed ownership and minimal insider equity, typical of scaled, institutionally held franchises.



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**Exhibit 4 - Executive Ownership Across Our Coverage Universe**

| Sub-Sector | Company | Diluted Shares Out (MM) | CEO Shares | CEO % OS | CFO Shares | CFO % Outstanding | Current Management & Board % Ownership | YTD Insider Buying / (Selling) (%) |
|---|---|---|---|---|---|---|---|---|
| Commercial Aerospace | AIR | 41 | 456,609 | 1.11% | 17,813 | 0.04% | 2.50% | (0.43%) |
| | ARXS | 417 | 13,276,520 | 3.18% | 436,261 | 0.10% | 4.16% | 0.05% |
| | BA | 833 | 143,190 | 0.02% | 42,458 | 0.01% | 0.07% | (0.00%) |
| | CAE | 326 | 47,542 | 0.01% | 0 | 0.00% | 0.07% | (0.03%) |
| | DPC | 145 | 462,889 | 0.32% | 294,513 | 0.20% | 1.97% | 1.58% |
| | FTAI | 104 | 538,194 | 0.52% | 5,842 | 0.01% | 1.35% | (0.25%) |
| | GE | 1,047 | 1,456,297 | 0.14% | 115,164 | 0.01% | 0.16% | (0.00%) |
| | HEI | 142 | 11,265,591 | 7.93% | 5,257 | 0.00% | 15.38% | (0.00%) |
| | HONA | 317 | 6,022 | 0.00% | 0 | 0.00% | 0.00% | 0.00% |
| | HWM | 402 | 3,254,012 | 0.81% | 3,218 | 0.00% | 0.96% | (0.02%) |
| | HXL | 77 | 21,068 | 0.03% | 0 | 0.00% | 0.80% | (0.00%) |
| | LOAR | 96 | 4,174,447 | 4.37% | 927,591 | 0.97% | 19.33% | 0.15% |
| | SARO | 334 | 462,648 | 0.14% | 6,338 | 0.00% | 0.27% | (0.05%) |
| | TDG | 57 | 5,338 | 0.01% | 4,993 | 0.01% | 0.35% | (0.02%) |
| | VSEC | 32 | 214,178 | 0.67% | 13,527 | 0.04% | 1.75% | (0.02%) |
| | WWD | 61 | 66,889 | 0.11% | 15,860 | 0.03% | 0.40% | (0.03%) |
| | **Average** | | | **1.21%** | | **0.09%** | **3.09%** | **0.06%** |
| Defense Primes | GD | 276 | 818,318 | 0.30% | 89,913 | 0.03% | 0.59% | (0.08%) |
| | LMT | 232 | 78,769 | 0.03% | 1,394 | 0.00% | 0.06% | (0.00%) |
| | NOC | 143 | 197,652 | 0.14% | 0 | 0.00% | 0.20% | (0.00%) |
| | RTX | 1,371 | 95,950 | 0.01% | 61,682 | 0.00% | 0.02% | (0.00%) |
| | TXT | 174 | 54,363 | 0.03% | 16,153 | 0.01% | 0.64% | (0.17%) |
| | **Average** | | | **0.10%** | | **0.01%** | **0.30%** | **(0.05%)** |
| IT Services | CACI | 22 | 121,122 | 0.54% | 7,541 | 0.03% | 0.76% | (0.01%) |
| | LDOS | 127 | 110,020 | 0.09% | 97,923 | 0.08% | 0.74% | (0.01%) |
| | PSN | 108 | 588,594 | 0.54% | 78,262 | 0.07% | 1.23% | 0.12% |
| | SAIC | 43 | 49,592 | 0.11% | 79,477 | 0.18% | 0.73% | 0.00% |
| | **Average** | | | **0.32%** | | **0.09%** | **0.86%** | **0.03%** |
| Airlines | AAL | 669 | 3,838,644 | 0.57% | 996,294 | 0.15% | 1.07% | (0.05%) |
| | AC-CA | 289 | 173,307 | 0.06% | 0 | 0.00% | 0.12% | 0.00% |
| | DAL | 668 | 1,385,420 | 0.21% | 49,408 | 0.01% | 0.46% | (0.12%) |
| | LUV | 498 | 631,462 | 0.13% | 106,572 | 0.02% | 1.04% | (0.00%) |
| | UAL | 329 | 864,716 | 0.26% | 59,794 | 0.02% | 0.64% | (0.10%) |
| | **Average** | | | **0.25%** | | **0.04%** | **0.67%** | **(0.05%)** |
| Defense Tech | AADX | 171 | 0 | 0.00% | 24,933 | 0.01% | 0.04% | 0.03% |
| | AVAV | 51 | 164,381 | 0.32% | 5,921 | 0.01% | 0.79% | (0.01%) |
| | AVEX | 127 | 0 | 0.00% | 32,486 | 0.03% | 2.30% | 0.06% |
| | BKSY | 46 | 539,771 | 1.18% | 236,121 | 0.52% | 3.61% | (0.09%) |
| | CDRE | 44 | 11,165,030 | 25.63% | 70,919 | 0.16% | 27.58% | (1.15%) |
| | ESLT | 49 | 0 | 0.00% | 0 | 0.00% | 41.24% | (0.14%) |
| | FLY | 182 | 1,104,137 | 0.61% | 291,051 | 0.16% | 1.47% | (0.00%) |
| | HAWK | 112 | 636,923 | 0.57% | 26,204 | 0.02% | 1.83% | 0.03% |
| | KTOS | 190 | 1,138,514 | 0.60% | 289,092 | 0.15% | 1.38% | (0.01%) |
| | MDA-CA | 166 | 132,993 | 0.08% | 6,650 | 0.00% | 1.15% | (0.07%) |
| | MRCY | 62 | 397,510 | 0.64% | 165,058 | 0.27% | 1.41% | (1.42%) |
| | NXSN-IL | 96 | 618,512 | 0.64% | 0 | 0.00% | 17.65% | 0.00% |
| | RDW | 259 | 1,453,823 | 0.56% | 360,676 | 0.14% | 1.20% | 0.00% |
| | SPCE | 139 | 224,548 | 0.16% | 117,289 | 0.08% | 0.83% | 0.01% |
| | TDY | 47 | 10,097 | 0.02% | 11,600 | 0.02% | 0.80% | (0.02%) |
| | VOYG | 83 | 0 | 0.00% | 46,658 | 0.06% | 0.96% | 0.00% |
| | YSS | 134 | 11,807,005 | 8.80% | 1,055,357 | 0.79% | 10.52% | 0.00% |
| | **Average** | | | **2.34%** | | **0.14%** | **6.75%** | **(0.16%)** |

Source: Company data, FactSet, Jefferies estimates

# Defense & Space

- **BA:** The Air Force and Boeing are moving to downgrade all 5 remaining KC-46 category one deficiencies by the end of 2027, with officials citing a higher confidence in the fixes and schedule. The outstanding issues include 2 tied to the Remote Vision System, plus a boom telescope actuator, environmental control system duct cracking, and faulty APU drain lines, with the RVS 2.0 solution expected to be validated in FQ4:27 and begin fielding in early 2028. Resolving the deficiencies is a precondition for finalizing the KC-46 Production Extension Program to buy 75 additional tankers, with the follow-on contract on track for FY28 and deliveries starting FY31.
- **BA:** A new GAO report found 10 of 13 B-52 modernization programs are experiencing cost, schedule, or performance challenges as the Air Force invests an estimated $21BB to keep the fleet flying into the 2050s. The two largest efforts, the Commercial Engine Replacement and Radar Modernization Programs (~88% of total), have each seen costs rise >30% and schedules slip more than 3 yrs on concurrency between testing and production.
- **BA:** Received a $75 million Air Force contract for GBU-75 JDAM LR, transitioning into initial production after nearly $100MM of company-funded development investment. The powered munition combines a 500-pound warhead, wing kit, and turbojet engine to deliver precision strike capability at ranges exceeding 300 nautical miles.
- **BA/NOC:** Demonstrated crewed/uncrewed teaming between MQ-4C Triton and P-8A Poseidon, showcasing AI-enabled machine-to-machine data sharing for maritime ISR, targeting, and anti-surface warfare missions. The test leveraged an open-architecture Universal Command and Control Interface, allowing Triton to autonomously respond to P-8 requests and enhancing interoperability with other compatible platforms.
- **BA:** The U.S. Air Force said the F-47 next-generation fighter program has entered the engineering and manufacturing development phase, with the effort now focused on maturing, integrating and testing all system components and producing test aircraft ahead of flight testing. The Air


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Force said the first Boeing-built F-47 remains on track for a 2028 first flight and plans to acquire at least 185 aircraft, while the program received $3.45BB in FY26 funding and more than $5BB in the FY27 budget request.

- **KTOS:** Kratos Defense was awarded a contract by the U.S. Army's C5ISR Center to develop an Enhanced Seeker for the Javelin Close Combat Missile System, including development, production and testing of a next-generation infrared seeker designed to address obsolescence in the current guidance section and improve weapon lethality over the next decade. The work will be performed at Kratos' Advanced Manufacturing Center in Alabama and supports broader efforts to strengthen the U.S. munitions industrial base.
- **LDOS:** Selected to provide infrared sensing payloads, onboard signal-processing capabilities and mission support for an 18-satellite missile warning and tracking constellation supporting the U.S. missile defense architecture. The company stated its flight-proven infrared sensing technology has already been demonstrated on orbit through prior Space Development Agency programs and will be integrated into a new low-Earth-orbit tracking layer designed to detect and track hypersonic and advanced missile threats.
- **LHX:** Confirmed the successful 1st deployment of its perimeter truss reflector aboard Viasat's ViaSat-3 Flight 3 satellite, which SpaceX launched in late April as the 3rd of Viasat's trio of high-capacity GEO satellites and will be positioned over the Asia-Pacific region. LHX builds large, deployable mesh reflector apertures and antenna systems spanning UHF-Band through Ka-Band, and noted the reflector is 30% more compact than industry-standard perimeter truss reflectors while maintaining high surface precision to maximize data capacity and broadband performance.
- **LMT:** Lockheed Martin's Skunk Works and the Air Force Test Pilot School completed 27 autonomous air intercepts against a live target across 8 experimental flights, using sensor-driven AI aboard the X-62 VISTA aircraft. The tests paired LMT's Infrared Search and Track Legion Pod with AI agents that ingested live infrared sensor data to direct the aircraft to intercept an airborne target in real time. While not directly tied to the CCA program, the results are expected to inform autonomy development as the Air Force works to integrate mission autonomy with its unmanned platforms.
- **LMT:** Australia will become the first international operator of AIM-260 Joint Advanced Tactical Missile, acquiring the next-generation long-range air-to-air weapon. The missile will initially be integrated on the RAAF's F/A-18F Super Hornet fleet before expanding to the F-35A and EA-18.
- **LMT:** The U.S. Army awarded Lockheed a contract worth up to $58.6BB to produce Patriot PAC-3 MSE interceptor missiles through 2032, converting a prior one-year $4.7BB award into a seven-year multiyear procurement framework. The agreement supports Lockheed's plans to triple PAC-3 MSE production capacity by 2030, increase employment at its Camden, Arkansas facility by roughly 50%, and raise interceptor output to 2,000 missiles annually amid growing global demand for air and missile defense systems.
- **MRCY:** Announced strategic partnership w/ PLTR to enhance factory automation and accelerate production timelines for US military programs, part of PLTR's broader effort w/ defense industrial base suppliers to increase throughput and reduce delivery timelines. Through 2 initial workflows, MRCY will streamline material planning, reduce manual workloads, and deliver at higher capacity across its factories without extending timelines or raising costs.
- **SPCX:** Plans to deploy upgraded Starlink V3 satellites on the next flight of Starship, its 1st orbital launch attempt, tentatively scheduled for late August, and will attempt its first catch of the upper stage back at the launch site pending regulatory approval. In its first earnings call, SpaceX reported Q2 revenue of $7.8BB, nearly double y-o-y, and narrowed its net loss to $541MM from $1BB a year ago, with Connectivity (Starlink) generating $4.29BB in revenue and $1.66BB of operating income. Mgmt projected annual recurring revenue of $100BB by December, pulled forward its $1TT annual revenue target to 2030 from 2031, and guided Starship flight cadence to potentially reach at least one flight per day within a year.
- **VOYG/RTX:** RTX awarded VOYG a contract for SM-3 to provide solid controllable propulsion technology. VOYG will also provide divert, attitude and control systems (DACS), which aids accuracy, maneuvering, and stabilization in the exo-atmospheric midcourse phase of flight.
- The Army issued a sources-sought notice seeking to integrate 50mm ammunition capabilities into counter-UAS systems to track and defeat group 1-3 drone threats, with the government willing to provide equipment and access to a government test facility for a live-fire demonstration. Responses are due August 31.
- The Army issued a notice seeking a basic ordering agreement for Group 3 UAS as it seeks to onboard commercially available platforms onto its online UAS marketplace. The Army wants a Modular Open Systems Approach for interoperability, along with the right to repair and modify, plus advanced autonomy for flight in GPS-denied environments and all-weather operation. Separately, the Army issued a call for solutions for Group 2 VTOL UAS to support autonomous reconnaissance, surveillance, EW, communications relay, and strikes.

## Commercial Aerospace

- **AIR FP:** Airbus delivered 61 aircraft in July (49 A320, 6 A220, 6 A350), -9% y-o-y vs 67 last year, though YTD deliveries of 412 remain +9% y-o-y. No aircraft have been delivered in August month-to-date, and July first flights totaled 68, -8% y-o-y, pointing to a softer summer production cadence even as full-year output tracks ahead of 2025.


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- **AIR FP/RTX:** Reaffirmed its 2026 delivery target of ~870 commercial aircraft, supported by an improving production environment and a strong Q2. First-half deliveries rose 15% Y-o-Y to 351 aircraft, w/ net orders of 821, driving backlog growth to >9,200 aircraft. Mgmt cited improved P&W engine availability, resolution of delivery delays, and ongoing A320neo and A350 production ramp-ups as key enablers, though Airbus must deliver ~519 aircraft in 2H26, or nearly 87 aircraft per month, to meet guidance.
- **BA:** The FAA issued an amended type certificate and updated Production Limitation Record for the Boeing 737 MAX-7, clearing the variant for production after nearly a decade of review. FAA safety inspectors will remain on site at BA production facilities to monitor the manufacturing process.
- **BA:** BA delivered Tajik national carrier Somon Air its first 737 MAX, a 737-8 leased from Dubai Aerospace Enterprise and the 1st MAX in Tajikistan, as part of a 2 aircraft commitment. The 737-8 anchors the carrier's fleet renewal for short and medium-haul routes, with planned expansion to London, Beijing, and Guangzhou. The delivery follows last year's commitment to purchase up to 14 787 and 737 MAXs, adding to its existing all-Boeing fleet of 6 Next-Generation 737s.
- **BBD.B CN:** Bombardier reported Q2 revenue of $2.15BB, +6% y-o-y, with service revenue reaching a record $674MM, +14%, while business jet deliveries fell to 32 from 36 a year ago. Orders of 50 jets drove a 1.5X B2B and grew backlog $4.3BB to $21.8BB, supported by strong demand for the Global 8000. Bombardier is also expanding manufacturing in Montreal and nearly doubling Singapore service capacity, and cited accelerating momentum at Bombardier Defense, incl Canada and NATO down-selecting the Global 6500 for Airborne Early Warning and Control.
- **GD:** General Dynamics appointed Danny Deep, the company's president since December 2025, to its board of directors. Deep has spent more than 20 years at the company and previously served as executive vice president of Global Operations, executive vice president of Combat Systems, and president of General Dynamics Land Systems.
- **JetZero:** Secured a preliminary deal last week with the US Export-Import Bank (EXIM) for up to $3BB in loans and guarantees to build its first factory, adding to $235MM already committed from the USAF to build its prototype, backed by **NOC** and **RTX**, who is providing P&W engines for the first demonstrator. The Z4 promises ~30% better fuel efficiency vs WBs, would seat ~250 passengers, and targets the gap btw NBs and WBs. 20 airlines incl **AAL**, **DAL**, and **UAL** have expressed interest, w/ **UAL** holding a conditional order for 200 Z4s.
- **Joby:** Plans to conduct initial flights under the eIPP beginning in September in Texas. Also selected for the Texas project is Archer Aviation, **BETA** and Wisk, and is intended to link Dallas, Austin and San Antonio, and Houston. Though initial flights are set to begin in September, Joby maintains its target of commencing passenger-carrying operations by YE26.
- **RTX:** Pratt & Whitney received an IDIQ contract to support FY26 F135 engine sustainment requirements, including initial spare parts, deployable spare packages, depot lay-ins and associated support equipment for U.S. and international F-35 operators. The company said the F135 sustainment network currently supports 42 bases and 13 ships worldwide, has delivered more than 1,500 F135 engines across 20 allied nations, and will leverage the existing support infrastructure for the future F135 Engine Core Upgrade program.
- Japan's aerospace supply chain reported strong results, with Mitsubishi Heavy Industries, IHI, and ShinMaywa benefiting from higher commercial aerospace production rates, increased aftermarket demand, and a weaker yen. MHI's Aircraft, Defense & Space segment revenue rose 26% Y-o-Y to ¥286BB, supported by comm'l aero deliveries, while IHI's Aero revenue increased 27% to ¥109BB on strong engine OE, and spare parts demand. ShinMaywa's aircraft revenue +21% to ¥9.7 billion as 787 production increased, with the company producing 23 shipsets during the quarter versus 13 a year earlier, highlighting continued momentum across Boeing's supply chain.

## Airlines

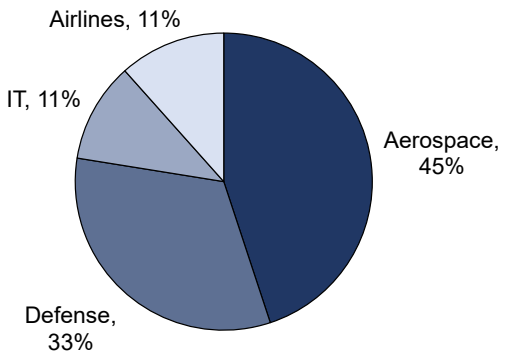
- **AAL:** Brazil's competition authority (CADE) approved American's planned $100MM investment in Azul, clearing the carrier to acquire an 8.66% equity stake in the Brazilian airline as part of its financial restructuring. The transaction includes the right to appoint one Azul board member and expands commercial cooperation through codeshares, reciprocal loyalty benefits and lounge access, with regulators concluding the deal is unlikely to harm competition despite overlap on select Brazil-U.S. routes.
- **ALGT:** Allegiant pilots represented by Teamsters Local 2118 ratified a new collective bargaining agreement, triggering payment of previously accrued pilot retention bonuses in Q4 2026 and introducing higher wage rates, enhanced retirement benefits and a new preferential bidding system. The agreement includes an immediate average wage increase of roughly 40%, a projected cumulative pay increase of about 54% by January 2027, and a company-funded 15% 401(k) contribution, while ratification reportedly passed with an 80% approval vote.
- **Cathay Pacific:** Cathay reported a strong first half, with revenue rising 23.5% y-o-y to HK$68BB and net profit nearly doubling to HK$6.2BB, driven by robust passenger demand, an 87.5% load factor and continued strength in cargo shipments tied to high-technology and AI-related products. Despite the results, management remained cautious on the second half due to geopolitical uncertainty in the Middle East and elevated fuel prices, although the airline reiterated its 10% capacity growth target for 2026 and said booking momentum remains strong through the third quarter.


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- **DAL/JBLU:** Delta and JetBlue are experiencing temporary shortages of certain onboard juice products due to a supplier packaging issue affecting airline-sized beverage containers. Delta has reported limited availability of apple, orange and cranberry juice on some domestic flights, while JetBlue has temporarily suspended cranberry cocktail service and shifted apple juice from individual cans to larger cartons until normal supplies return.
- **ELAL-IL:** El Al reported record Q2 results, with revenue rising 27% y-o-y to $986MM, EBITDA increasing 25% to $193MM, and net income doubling to $132MM, driven by strong demand, higher yields and a return to full operations following Operation "Roaring Lion." The carrier also highlighted a record $1.4BB booking backlog, record liquidity of $2.1BB, cargo revenue growth of 60%, and raised its Q3 outlook, now expecting 6%-10% ASK growth, 4%-7% RASK growth and load factors above 90%.
- **INDIGO IN:** IndiGo signed an agreement with CFM International (**GE**/SAF FP) for more than 1,000 LEAP-1A engines to power over 510 A320neo-family aircraft, the largest single LEAP order ever, continuing its pivot away from **RTX**'s Pratt & Whitney GTF after durability and powder metal issues grounded 75 of its aircraft at peak. The deal completes engine selections for 135 undecided A320neos and 375 undecided A321neos, and includes CFM support for a new IndiGo engine MRO facility and a long-term spare parts agreement.
- **LHA GR:** Lufthansa reported a sharp Q2:26 profit decline, w/ core network airline operating profit falling to €137MM (~$151MM) from €627MM (~$689MM) y-o-y, as ~€1.5BB (~$1.65BB) of additional fuel costs in 2026 offset efficiency gains from its turnaround program. The group cut FY26 operating profit guidance to €1.7-2.2BB (~$1.9-2.4BB) from its prior target and is exploring an additional 1% of European short-haul capacity cuts along with near-term project and hiring freezes targeting up to €200MM (~$220MM) of savings. Lufthansa also flagged ongoing fleet delays, now expecting only 41 aircraft deliveries in 2026 vs 45 planned, while still targeting its first 777-9 in Q1:27.
- **LUV:** Called the FAA's 737-7 certification an important step in modernizing its all-**BA** fleet, now preparing to take first delivery as the launch customer after originally expecting the variant in 2019. LUV expects a 3-6 month onboarding process once delivered, with entry into service targeted for early 2027, and sees the aircraft expanding opportunities for new routes, including potential longer-haul service. LUV has 258 MAX 7s on order plus 38 options as it works toward an all-MAX fleet by 2031, and exercised 6 MAX 7 options in Q2 for 2027 delivery while converting 19 2026 deliveries from -7 to -8 firm orders in H1:26.
- **LUV:** Launched a promotional Companion Pass offer for Rapid Rewards members, allowing eligible customers to earn Companion Pass benefits valid from Jan. 5 through Mar. 3, 2027 after registering, booking qualifying travel by Aug. 6, and completing travel by Nov. 18, 2026. The promotion is designed to drive engagement with Southwest's loyalty program and encourage incremental bookings ahead of 2027.
- **LUV:** New corporate travel enhancements, including the launch of Business Priority in early 2027 and the introduction of New Distribution Capability (NDC) connectivity options for travel management companies and corporate booking tools. Business Priority will offer eligible travelers preferred accommodation, standby and boarding benefits, while NDC distribution is expected to expand access to Southwest's fare products, seating options and ancillary services through third-party channels beginning in late 2026 and 2027.
- **JAL:** Daily website traffic has declined about 10% y-o-y as travelers increasingly use AI-powered platforms such as ChatGPT, Google AI, Reddit and YouTube to research trips before visiting airline websites. In response, the carrier is shifting its marketing strategy toward improving visibility across AI-driven search channels, launching advertising on ChatGPT, expanding its Reddit presence and using AI analytics tools to optimize digital marketing performance.
- **UAL:** United expanded its premium dining program by partnering with Chef's Table to feature menus from 11 chefs globally, including a new multi-course offering from Denver-based chef Penelope Wong. The menu will be available in Polaris business class on select nonstop international flights from Denver to Rome, London, Frankfurt, Munich and Tokyo through October, with seasonal chef rotations planned into 2027.
- **WestJet:** Reached a tentative agreement with the union representing 4,400 flight attendants, ending a strike that forced the cancellation of 922 flights, or about 39% of scheduled operations between Aug. 1-5, and disrupted travel for an estimated 250,000 passengers over a Canadian holiday weekend. The agreement includes additional compensation tied to time spent on duty, addressing a labor issue felt across North American airlines, though financial terms were not disclosed and the deal still requires ratification within 30 days.

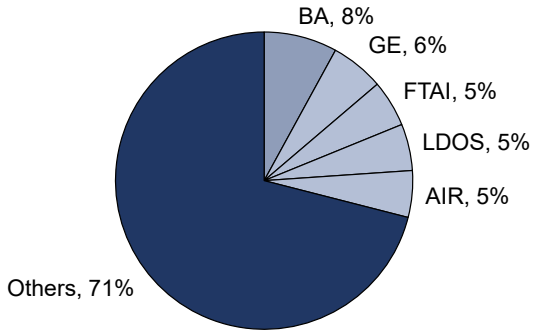

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**Exhibit 5 - Investor Interest Last 30-Days - Aerospace Accounted for ~45% of Discussions**




Source: Jefferies

**Exhibit 6 - Investor Interest Last 30-Days - GE, BA, RTX, HEI and TDG Lead**




Source: Jefferies

# Upcoming Events

**September 9-10: Jefferies Industrials Conference**

On September 9-10, we are hosting our annual Jefferies Industrial Conference at the Westin Times Square in New York City. **AAL**, **AIR**, **ARXS**, Astronics, ATS Corp, **AVAV**, **AVEX**, **BAH**, Bristow, **BKSY**, **CAE**, **CDRE**, CSG, CRS, Dassault Aviation, Ducommun, **ESLT**, **EVEX**, Epirus, **FLY**, Fincantieri, Forterra, **FTAI**, **HAWK**, **HEI**, Huntington Ingalls, **HON**, **HWM**, **HXL**, JetZero, Joby, Kongsberg Gruppen, Kraken Robotics, **LDOS**, Leonardo, **LHX**, **LMT**, **LUV**, **MDA**, Moog, Montana Aerospace, **MRCY**, **NXSN**, Ondas, **PDYN**, **PSN**, Pursuit Aerospace, **RDW**, Rheinmetall, **SAIC**, **SARO**, Shield AI, **TDY**, True Anomaly, **TXT**, **UAL**, Vertical Aerospace, **VSEC**, **VOYG**, V2X, Wartsila, Wheels Up, **WWD**, **YSS.**

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**Bespoke Jefferies Events**

- **Oct 12-14, 2026:** AUSA - Washington D.C. w/ Anduril, **AVAV**, **AVEX, CACI**, **GD**, **ESLT**, Epirus, **LMT, NOC,** Moog**, PSN,** Shield AI, **TDY, TXT**.
- **Nov 21-23 2026:** UT Game and Austin Defense Tech Trip w/ BAE Systems, **FLY,** Saronic, **VOYG,** X-Bow Systems.

**Conferences**

- **Aug 11-12, 2026:** Space & Missile Defense Symposium on August 11-12
- **Sept 14-16, 2026:** Air Force Air, Space & Cyber Conference - National Harbor, MD
- **Oct 20-22, 2026:** NBAA - Las Vegas, NV
- **Mar 31, 2027:** McAleese Defense Programs - Washington, DC

**Marketing & Analyst Days**

- **Sept 29:** Alaska Air Group Investor Day
- **Nov 30:** MTU Capital Markets Day
- **Dec 3: VOYG** Analyst Day.
- **Dec 9: VSEC** Analyst Day
- **Mar 4: WWD** Analyst Day

**Expert Calls**


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- **Mon, Aug 10:** SkyWest Airlines, Conversation with CFO Rob Simmons and CAO Eric Woodward on Regional Airlines Trends (*Link*)
- **Weds, Sept 30:** Airline Rewards w/ Point.me (*Link*)
- **Tues, Oct 6:** Talking Drones Pre-AUSA W/ Unusual Machines CEO Allan Evans (*Link*)

*Please reach out to the team or Jefferies sales representative to register for Roadshows and Mgmt. Meetings.*


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## Investment Recommendation Record

**(Article 3(1)e and Article 7 of MAR)**

| | |
|---|---|
| Recommendation Published | August 7, 2026 13:52 P.M. |
| Recommendation Distributed | August 7, 2026 13:52 P.M. |

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Underperform - Describes securities that we expect to provide a total return (price appreciation plus yield) of minus 10% or less within a 12-month period.
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## Other Companies Mentioned in This Report

- AAR Corp. (AIR: $146.40, BUY)
- AeroVironment, Inc. (AVAV: $171.12, BUY)
- Aevex Corp (AVEX: $21.49, BUY)
- Air Canada (AC CN: C$26.39, HOLD)
- Airbus Group NV (AIR FP: €212.45, HOLD)
- American Airlines Group, Inc. (AAL: $16.03, HOLD)
- Applied Aerospace & Defense (AADX: $21.26, BUY)
- Arxis (ARXS: $57.59, BUY)
- BAE Systems PLC (BA/ LN: p2,200.00, HOLD)
- Beta Technologies (BETA: $22.72, BUY)
- BlackSky Technology (BKSY: $27.79, HOLD)
- Booz Allen Hamilton (BAH: $73.93, RESTRICTED)
- CACI International Inc. (CACI: $628.79, HOLD)
- CAE Inc (CAE: $26.78, HOLD)
- Cadre Holdings, Inc. (CDRE: $35.02, BUY)
- Cathay Pac Air (293 HK: HK$15.14, BUY)
- Czechoslovak Group (CSG NA: €19.26, BUY)
- DPC Holdings Ltd (DPC: $56.84, BUY)
- Dassault Aviation SA (AM FP: €313.60, BUY)
- Delta Air Lines, Inc. (DAL: $91.98, BUY)
- Elbit Systems Ltd. (ESLT: $857.00, HOLD)
- Eve Holding, Inc. (EVEX: $2.62, BUY)
- FTAI Aviation Ltd (FTAI: $221.23, BUY)
- Fincantieri SpA (FCT IM: €13.22, BUY)
- Firefly Aerospace (FLY: $24.06, BUY)
- Forterra (FORT LN: p146.40, BUY)
- General Dynamics Corp. (GD: $386.92, BUY)
- General Electric Company (GE: $374.55, BUY)
- Hawkeye 360 (HAWK: $24.71, BUY)
- Heico Corporation (HEI: $363.29, BUY)
- Hexcel Corporation (HXL: $102.98, HOLD)
- Honeywell Aerospace Inc (HONA: $156.47, HOLD)
- Howmet Aerospace Inc (HWM: $289.72, BUY)
- IHI (7013 JP: ¥2,639, BUY)
- InterGlobe Aviation Limited (INDIGO IN: INR5,321.00, BUY)
- Japan Airlines Co Ltd (9201 JP: ¥3,045, BUY)
- Kratos Defense & Security Solutions, Inc. (KTOS: $57.41, BUY)
- L3Harris Technologies (LHX: $289.53, RESTRICTED)


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- Leidos Holdings (LDOS: $135.26, HOLD)
- Leonardo SpA (LDO IM: €58.55, BUY)
- Loar Holdings (LOAR: $72.54, BUY)
- Lockheed Martin Corp. (LMT: $582.85, HOLD)
- Lufthansa (LHA GR: €8.56, HOLD)
- MDA Space Ltd (MDA CN: C$48.11, BUY)
- MDA Space Ltd (MDA: $34.26, BUY)
- Mercury Systems (MRCY: $108.83, HOLD)
- Mitsubishi Heavy Industries (7011 JP: ¥3,998, BUY)
- Next Vision Stabilized Systems (NXSN IT: ILS224.60, BUY)
- Northrop Grumman Corp. (NOC: $567.74, HOLD)
- Palantir Technologies Inc (PLTR: $155.92, UNDERPERFORM)
- Palladyne AI Corp (PDYN: $5.89, HOLD)
- Parsons Corporation (PSN: $47.91, BUY)
- RTX (RTX: $223.25, BUY)
- Redwire (RDW: $11.83, HOLD)
- Rheinmetall AG (RHM GR: €1,159.00, BUY)
- SAIC (SAIC: $124.28, HOLD)
- Southwest Airlines Co. (LUV: $46.94, HOLD)
- StandardAero (SARO: $30.00, HOLD)
- Teledyne Technologies Incorporated (TDY: $687.52, BUY)
- Textron Inc. (TXT: $87.89, BUY)
- The Boeing Company (BA: $232.19, BUY)
- TransDigm Group Incorporated (TDG: $1,262.07, BUY)
- United Airlines Holdings, Inc. (UAL: $129.12, BUY)
- VSE Corporation (VSEC: $225.45, BUY)
- Virgin Galactic Holdings (SPCE: $2.93, BUY)
- Voyager Technologies, Inc. (VOYG: $38.31, BUY)
- Wheels Up (UP: $5.43, RESTRICTED)
- Woodward (WWD: $365.78, BUY)
- York Space Systems LLC (YSS: $10.89, BUY)

## Distribution of Ratings

| | | | IB Serv./Past12 Mos. | | JIL Mkt Serv./Past12 Mos. | |
|---|---|---|---|---|---|---|
| | Count | Percent | Count | Percent | Count | Percent |
| BUY | 2225 | 62.29% | 388 | 17.44% | 116 | 5.21% |
| HOLD | 1189 | 33.29% | 93 | 7.82% | 14 | 1.18% |
| UNDERPERFORM | 158 | 4.42% | 0 | 0.00% | 0 | 0.00% |


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